

Company Accounting Playbook

Zoho Books bookkeeping rules, confirmed decisions, and review notes

Last updated: August 4, 2026

Purpose. Central source of truth for confirmed classifications, recurring transaction rules, and unresolved items. Document future changes without deleting the audit trail.

1. Confirmed company and account facts

- The bookkeeping system is Zoho Books.
- The U.S. Bank account referenced in prior notes is the company's Amazon credit card. In Zoho Books it is named Amazon Business CC and classified as a Credit Card, not a bank account.
- Walmart purchases are for food unless a specific receipt shows otherwise.
- Pirate Ship provides shipping labels; its business charges belong in Postage.
- Benjamin-related repayments or reimbursements should offset the related transaction, not create revenue or an unrelated expense.

2. Core bookkeeping rules

Credit-card purchases and payments

Record a business purchase to the appropriate expense or asset account when the credit-card transaction is recorded. Record the later bank payment as a transfer or credit-card payment:

- Purchase: debit the expense or asset; credit the Amazon credit-card liability.
- Payment: debit the Amazon credit-card liability; credit the bank account.

The payment itself must not create a second expense. Paying the card in July does not move a properly recorded June purchase into July's profit-and-loss report.

Machinery and equipment

Expensive machines purchased for ongoing business use belong in the fixed-asset account Machinery and Equipment, not Furniture and not an ordinary operating-expense account. The purchase affects the balance sheet. Only depreciation, interest, or card fees should affect profit and loss after capitalization.

CPA review: Confirm the company's capitalization threshold, placed-in-service date, depreciation method, and any Section 179 or bonus-depreciation election before filing taxes.

Refunds, repayments, and accidental personal use

- If a specific expense is refunded or repaid, credit the same expense account used for the original charge. This shows the true net cost.
- Do not record repayment for accidental personal use as sales or ordinary income.
- If the original charge cannot yet be identified, temporarily use a clearly named due-from or clearing account and resolve it after matching the source transaction.
- A reimbursement for a purchase made on someone's personal card should record the underlying business expense only once. If the original expense is already recorded, apply the payment against the reimbursement liability rather than duplicating the expense.

Credit-card rewards and statement credits

Statement credits from older rewards points are presented in the Credit Card Rewards account, which is classified as Other Income. The March and April journal entries reclassified amounts from General Income to Credit Card Rewards and did not change total profit. The rewards were earned in previous years, so their tax treatment and period attribution should be confirmed with the tax preparer.

3. Confirmed Zoho Books corrections

Item	Amount	Confirmed treatment
Machinery purchases	\$5,093.26 net	Classified to Machinery and Equipment. Furniture balance is \$0.
Amazon card payment	\$1,926.10	Recorded as a credit-card payment, not an expense.
Amazon card payment	\$1,054.95	Recorded as a credit-card payment, not an expense.
Amazon credit-card balance	\$0.00	Balance after the reviewed payment corrections.
Rewards credit - March	\$7,366.54	Reclassified from General Income to Credit Card Rewards (Other Income); no change to total profit.
Rewards credit - April	\$1,466.48	Reclassified from General Income to Credit Card Rewards (Other Income); no change to total profit.
Total reviewed rewards credits	\$8,833.02	Credit Card Rewards (Other Income), not sales revenue; the reclassification did not change total profit, and tax treatment remains a CPA-review item.

Item	Amount	Confirmed treatment
Benjamin Zelle repayment	\$181.73	Software Subscription expense refund offsetting the matching OpenAI charge. This removed the negative cost-of-goods-sold anomaly without changing net profit.

Shipping-related corrections

The \$28.13 transaction dated July 1, 2026 is a FedEx refund credited to Postage. It is unrelated to Benjamin Steele, Yaakov Weil, or Pirate Ship.

1. The \$700.78 Zelle payment dated July 14, 2026 reimbursed Yaakov Weil for Pirate Ship labels accidentally purchased with his personal credit card. Keep it classified as Postage; it is not a vendor payment or a credit-card payoff.
2. Retain the Pirate Ship receipts and Yaakov's card statement with the reimbursement record. Do not also record the same label charges separately.

4. How to interpret the profit-and-loss report

- A credit-card payoff reduces cash and the card liability. It does not reduce profit.
- A capitalized machine purchase increases a fixed asset and the card liability. It does not create an immediate operating loss, except through depreciation or related interest and fees.
- A repayment that offsets an expense reduces that expense. It does not create sales income.
- The March and April rewards journals reclassify income from General Income to Credit Card Rewards; they do not change total profit or affect July.
- Always use the same report basis and date range when comparing months.

July variance

The corrected July 2026 Profit and Loss report shows net profit of \$367.25 on both cash and accrual bases. Compared with June, sales decreased by \$10,335.75 and operating expenses increased by \$5,008.90. The largest expense increases were Salaries and Employee Wages (\$3,302.21) and Utilities (\$2,763.60).

5. Month-end review procedure

1. Reconcile the bank account and Amazon credit card to their statements.
2. Confirm that every card payment is recorded as a transfer or payment, not an expense.
3. Review uncategorized transactions, negative expense balances, and negative cost-of-goods-sold balances.
4. Match refunds and repayments to the original charge and use the same expense account when known.
5. Check machinery purchases against invoices and confirm the placed-in-service date.
6. Run Profit and Loss by month using a consistent accounting basis.
7. Compare any unusually high or low month by drilling into the accounts that changed most.
8. Save a short note describing every non-obvious correction.

6. Items still requiring confirmation

- Company legal name, entity type, and tax year.
- Whether management reports should normally use cash or accrual basis.
- Capitalization threshold and depreciation policy for machinery.
- Tax treatment of rewards points earned in prior years but redeemed in the reviewed year.

7. Instructions for future accounting assistance

- Treat the facts and confirmed treatments in this document as the current source of truth.
- Separate confirmed facts, proposed changes, and questions.
- Before editing Zoho Books, explain the proposed entry and its effect on profit and loss, the balance sheet, and account balances.
- Preserve transaction history and the audit trail. Do not delete transactions merely to make reports look correct.
- Do not double-count expenses when reimbursements or personal cards are involved.
- Flag tax elections and uncertain tax treatment for a CPA instead of guessing.
- Update this playbook whenever a recurring classification rule or material correction is confirmed.

Scope note: This is an internal bookkeeping reference based on the reviewed Zoho Books activity. It is not a substitute for tax or legal advice.